

FORMATIVE EXPERIENCES

Before the Great Bull Market of the 1920's was to come to its crashing end, I did have an experience, however, that was to teach me much of real importance for use in the years ahead. In the 1927–28 academic year I was enrolled as a first-year student in Stanford University's then fledgling Graduate School of Business. Twenty per cent of that year's course, that is one day a week, was devoted to visiting some of the largest business enterprises in the San Francisco Bay area. Professor Boris Emmett, who conducted this activity, had not been given this responsibility because of the usual academic background. In those days, the large mail order companies obtained a significant part of their merchandise through contracts with suppliers whose sole customer was one or the other of these firms. These contracts frequently were so hard on the manufacturer and afforded him so little profit margin that from time to time a manufacturer would find himself in severe financial difficulty. It was not in the interest of the mail order houses to see their vendors fail. Professor Emmett had for some years been the expert employed by one such mail order firm with the job of salvaging these faltering companies when they had been squeezed too tightly. As a result, he knew a great deal about management. One of the rules under which this course was conducted was that we would visit no company that would just take us through the plant. After “seeing the wheels go around,” the management had to be willing to sit down with us so that, under the very shrewd questioning of our professor, we could learn something of what the strengths and weaknesses of the business really were. I recognized that this was a learning opportunity of just the type that I was seeking. I was able to jockey myself into a position to take particular advantage of it. In that day, over a half century ago, when the ratio of automobiles to people was tremendously lower than it is today, Professor Emmett did not have a car. I did. I offered to drive him to these various plants. I did not learn much from him on the way over. However, each week on the way back to Stanford, I would hear comments of what he really thought of that particular company. This provided me with one of the most valuable learning experiences I have ever been privileged to enjoy.